NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 10.03.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(A) Merger & Amalgamation/11/230/AMR/2021		230	Babu Tobacco Private Limited (Demerged Company) & Babnu Warehousing Private Limited (Resulting Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(A) Merger & Amalgamation/11/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT HYDERABAD

CP (CAA) No.11/230/AMR/2021
Connected with
CA (CAA) No.2/230/AMR/2021

In the matter of
Section 230 to 232 of the Companies Act, 2013 Read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

In the matter of
SCHEME OF ARRANGEMENT BETWEEN M/s.BABU TOBACCO PRIVATE LIMITED (DEMERGED COMPANY) AND M/s.BABU WAREHOUSING PRIVATE LIMITED (RESULTING COMPANY)

1. Babu Tobacco Private Limited,
(CIN: U16001AP1971PTC001456)
Registered office at D.NO.4-4-136/6,
7th Line, Chandramouli Nagar,
Guntur – 522007, Andhra Pradesh.

... Petitioner No.1/Demerged Company

2. Babu Warehousing Private Limited,
(CIN: U63030AP2020PTC115936)
Registered office at D.NO.4-4-136/6,
7th Line, Chandramouli Nagar,
Guntur – 522007, Andhra Pradesh.

.... Petitioner No.2/Resulting Company

Date of Pronouncement of Order: 10.03.2022

Coram:

Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Petitioner(s)	:	Mr. Naresh Kumar Sangam, Advocate
For Regional Director	:	Mr.B.Mohanty, ICLS
For Official Liquidator	:	Mrs. Santoshi Jagirdari, OL

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by Babu Tobacco Private Limited/Demerged Company and Babu Warehousing Private Limited/Resulting Company seeking approval for Scheme of Arrangement (the Scheme for short) with the Resulting Company. Demerger Company's registered office is at Andhra Pradesh and the Resulting Company's registered office is at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Petitioner No.1/Demerged Company was incorporated under the Companies Act, 1956. The Authorised Share Capital is Rs.3,25,00,000/- divided into 3,25,000 equity shares of Rs.100/- each. The issued, subscribed and paid-up equity

share capital is Rs.1,28,12,500/- divided into 1,28,125 equity shares of Rs.100/- each. The main objects of the Petitioner No.1 Company are to buy, deal in and export all kinds of merchandise in general and unmanufactured India tobacco of all varieties in particular and to carry on the business of manufacturers of and dealers in tobacco and to deal in any other articles and things commonly dealt in by tobacco traders etc.

ii. The Petitioner No.2/Resulting Company was incorporated under the Companies Act, 2013 and the Authorised Share Capital is Rs.15,00,000/- divided into 15,000 equity shares of Rs.100/- each. The issued, subscribed and paid-up equity share capital is Rs.1,06,000/- divided into 1,060 equity shares of Rs.100/- each. The main objects of the Petitioner No.2 Company are to construct, build, equip, own and maintain and to carry on business as keepers of cold storage, storage chambers, ice plants, godowns, warehouses, refrigerators, freezing houses and room coolers for storing all types of goods/commodities including agricultural commodities like chillies, paddy, tamarind, turmeric, sea foods, marine foods

iii. According to the Petitioner Companies, the Demerged Business and remaining business carried on by Demerged Company have significant potential for growth. The nature of

risk and competition involved in each of these units are distinct from each other and consequently Demerged Business and Remaining Business is capable of attracting a different set of business leaders, employees, investors, strategic partners, lenders and other stakeholders. The board of Directors of the Demerged Company felt that the Demerged business and remaining business should be bifurcated and should have independent entities for each undertaking.

iv. It is believed that the proposed segregation will create enhanced value for all stakeholders and allow a focused strategy in operations, which would be in the best interest of the Demerged Company, all its stakeholders, creditors and all persons connected with the Demerged Company. It will also provide scope for independent collaboration and expansion without committing the existing organization in its entirety. The appointed date is 01.11.2020.

v. The Board of Directors of the Demerger Company and Resulting Company approved their scheme at their respective board meetings held on 09.02.2021. Consent by way of Affidavit and No Objection to the Scheme supported by Board resolutions was also obtained from all the Secured and Un-Secured Creditors of Demerger and Resulting Companies.

vi. The Tribunal by order dated 02.11.2021 dispensed with the requirement of holding meetings of all Shareholders, Unsecured Creditors of the Petitioner No.1 Company and Shareholders of the Resulting Company. The scheme of arrangement was approved by the board of directors and others.

3. As per directions of this Tribunal vide order dated 23.11.2021, the Petitioner Companies issued notices to the Statutory Authorities and also issued paper publication in two newspapers i.e., Business Standard (English Daily) and Vishalaandhra (Telugu Daily).

4. Notices were served on Central Government through the Regional Director (SER), Registrar of Companies (RoC), Andhra Pradesh, Official Liquidator, Hyderabad, Income Tax Authorities for intimating the Scheme of Arrangement.

5. Regional Director (RD), Ministry of Corporate Affairs and Official Liquidator (OL) filed their reports in response to the notice issued to them. The RD sought this Tribunal to direct the Petitioner Companies to preserve its books of accounts & papers and shall not dispose of without prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013 and to direct the Petitioner Companies to ensure statutory compliance of all applicable laws and to comply Rule 17(2) of the Companies

(Compromise, Arrangement and Amalgamation) Rules 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of Registrar of Companies and to direct the Petitioner Companies to file an Application with Registrar of Companies (RoC) indicating the revised authorised capital. The Report of the RD reflects that no objection was raised by the Income Tax Department for the merger of the Demerged Company.

6. It is also stated that by virtue of the letter dated 10.01.2022 from the Official Liquidator (OL), Hyderabad addressed to the Petitioner Companies, the provisions of Section 230-232 of Companies Act, 2013 do not bar the Official Liquidator to seek information form the Resulting Companies. It is stated that the Official Liquidator (OL) required to file reports in demerger matters. It is further stated that as per para 14 of the order of the NCLT, Amaravti Bench there are no Secured Creditors and there is no need to hold Secured Creditors meeting. But as per the Company Master Data there are eight open charges in the Demerged Company. The matter was taken up with the company and in reply it was confirmed that the Secured loans availed by the Company which are appearing as open charges in MCA portal have been successfully repaid.

Hence, from the above report of the RD it can be understood that there are no tenable objections raised and that the queries posed to the companies were also answered.

7. The Petitioner filed a reply to the RD's report stating that the Petitioner No.1 Company has already filed Form-CHG-4 on 18.02.2022 and the copies of the challans evidencing filing of the said form are enclosed as Annexure-I. Hence, the direction as sought for by the Regional Director (RD) would stand complied.

8. The Official Liquidator (OL) made certain observations in his report, which are as follows:

a) Clause 6 of Part-II of the Scheme provides for Accounting treatment that the Demerged Company and Resulting Company shall comply with the applicable Accounting Standards, but it was not specified about the method of accounting treatment. Hence, this Hon'ble Tribunal may be pleased to direct the Demerged and Resulting Companies to submit an undertaking to this Hon'ble Tribunal to the effect that "not to deviate from the provisions of Accounting Standard – 14 – Pooling of Interest Method".

b) Clause 9 of Part-II of the Scheme seeks to protect all staff, workmen and employees (if any) of the demerged business of

the Demerged Company. On the specified Date they shall be deemed to have become staff and employees of Resulting Company without any break in the service. Hence, this Hon'ble Tribunal may be pleased to direct the Demerged and Resulting Companies to submit an undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who was in service as on the Appointed Date (i.e., 01.11.2020) as well.

c) There are no pending litigations or prosecutions against the Directors and Demerged and Resulting Companies as per the information provided vide its letter dated 12.01.2022 & 08.02.2022 respectively.

d) The Resulting Company is a loss making company as per the Balance Sheet as at 31.03.2021.

e) As per Clause (v) of Annexure to the Auditor's Report dated 04.09.2021 for the financial year ended 31.03.2021 of the Demerged Company and similarly as per letter dated 08.02.2022 of the Resulting Company, the Petitioner Companies have not accepted any deposits falling under Section 73 of the Companies Act, 2013.

9. In reply to the said report of the Official Liquidator (OL), the Petitioners submitted that they have categorically stated at clause 6 part II of the Scheme that the Demerged Company and Resulting Company shall comply with applicable standards and further undertook that they will not deviate from provisions of Accounting Standard–14–Pooling of Interest Method. With regard to the retrenchment of the employees also, an undertaking was given by the Petitioners that there would be no retrenchment of any employee who were in the service as on the appointed date. The observations made in paragraphs 22(c, d & e) are only statement of facts, hence they need not be considered.

10. Finally the Official Liquidator (OL) accepted the submissions made by the Petitioners and did not raise any objections for accepting the Scheme of Arrangement of the Petitioners Companies.

11. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

12. The Company Petition is allowed with the following directions:-

a) The Scheme of Arrangement (Copy of the Scheme enclosed at Page No.126 to 146 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.11.2020 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with

regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

13. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.11/230/AMR/2021 is stand disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu